Harold McGraw III

Chairman, President and CEO
The McGraw-Hill Companies

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Period of change is creating new opportunities to expand in core markets

- **Permeates every part of The McGraw-Hill Companies**
  – Standard & Poor’s
  – McGraw-Hill Financial
  – McGraw-Hill Education
  – McGraw-Hill Information & Media

Technology is transforming our world

- **Improves the business model**
- **Key to our growing and reliable subscription business as model changes from print to digital**
- **Increases our operating leverage**
- **Enables us to reach more customers at lower costs**
- **Facilitates innovation**
- **Expands our addressable market**
- **Enables us to transform McGraw-Hill Education**

We are benefiting from growth of digital products and services

- **Today, approximately two-thirds of MHP's revenue comes from digital and hybrid-digital products and services**
  - Proportion will grow

Outlook for 2011

We will benefit from:

- **Growth of digital products and services**
- **Recovering capital markets**
- **New global growth opportunities in all our segments**
- **Performance of newest segment, McGraw-Hill Financial**

Solid 1Q 2011 results for MHP: 18.2% increase in diluted EPS

- **Building on solid achievements of 2010**
- **Promising start to 2011**

McGraw-Hill Financial

McGraw-Hill Financial off to a strong start

As Reported	1Q 2011	1Q 2010	Change
Revenue	$324.0 million	$ 278.8 million	16.2%
Operating Profit	$96.3 million	$71.2 million	35.3%
Operating Margin	29.7%	25.5%	

- **Double-digit top- and bottom-line growth**
- **29.7% operating margin**

The strategy for McGraw-Hill Financial

- **McGraw-Hill Financial**
  - Complexity and growth of multi-asset portfolios is creating new global demand for pricing and analytics that span asset classes
  - Together, our brands can be more than the sum off their parts
  - Our goal: To create one scaled operation offering global financial professionals high-value content across all asset classes

The strategy for McGraw-Hill Financial

Existing Products & Services
(1) Previously in FIRMS offering

McGraw-Hill Financial's New Integrated Product Capabilities

- Global Data Solutions [1]
- XpressFeed
- Compustat
- S&P Securities Evaluations [1]
- CUSIP Global Services [1]

→ **Enterprise Solutions**

S&P Indices for:
- Equity
- Fixed Income
- Commodities
- Economic
- Thematic
- Strategy
- Custom

→ **Benchmarks**

- Equity Research (STARS)
- Market, Credit & Risk Strategies (cross-asset) [1]
- Leveraged Commentary & Data [1]
- MarketScope Advisor
- Quantitative Research

→ **Research & Analytics**

- Capital IQ
- TheMarkets.com
- Global Credit Portal [1]
- RatingsDirect [1]
- Risk Solutions [1]
- ABSXchange [1]

→ **Integrated Desktop Solutions**

One scaled operation offering high-value content across all asset classes

- **McGraw-Hill Financial is about creating:**
  - Scale
  - Horizontal solutions
  - Innovations in research and analytics
- **Capital IQ platform will support a growing $1.2 billion enterprise**

The strategy for McGraw-Hill Financial's Enterprise Solutions Group

- **Enterprise Solutions Group:**
  - Integrates data
  - Streamlines delivery of data on one platform:
    - McGraw-Hill Financial
    - Standard & Poor's
    - Third-party data
- **Easier access to information allows greater insight and transparency into the markets our customers serve**
- **We continue to see demand for our data in pre- and post-trade markets**

Growing and expanding S&P Indices—the key to our Benchmarks operation

- **Liquid and investable indices are central to the growth of S&P indices**
- **S&P indices are the basis of 333 exchange-traded funds with more than $323 billion in assets under management at the end of 1Q 2011**
- **Expect S&P Indices to continue to diversify its product offering. Currently includes:**
  - Commodities
  - Fixed income
  - Leading measure of U.S. home prices—the S&P Case-Shiller Home Price Indices

Standard & Poor's

Favorable outlook as clarity returns to global debt markets

- **S&P expects to benefit from favorable trends, which include:**
  - Strong new issuance in corporate and high-yield bonds and a growing bank loan market
  - Growth in public debt markets as banks continue to deleverage
  - An increasingly active M&A market
  - Investors' increasing appetite for risk
  - Tight credit spreads
  - A pick up in refinancing activity

Favorable market trends: Tightening credit spreads

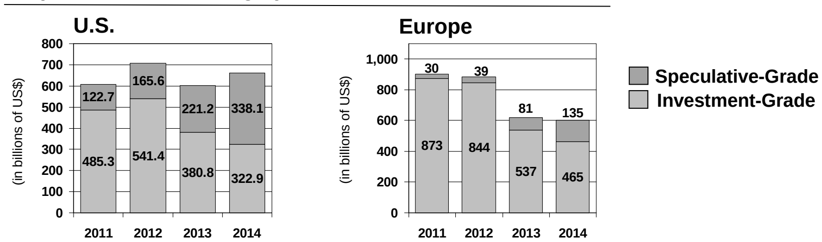
Basis Points	5/12/11	One Month ago	Beginning of 2011	5-Year Daily Moving Average
Investment-grade composite spread	**163**	**160**	**177**	**227**
Speculative-grade composite spread	**482**	**457**	**538**	**665**

Source: Standard & Poor's Global Fixed Income Research

Public and private sector borrowers have huge refinancing requirements

- **S&P estimates $5.6 trillion in bond and loan maturities coming due between 2011 and 2014 for U.S. and European markets**
- **Maturities in the range of $1.2 trillion to $1.5 trillion per annum between 2011 and 2014**

Corporate Debt Maturing by Year



Source: Standard & Poor's Global Fixed Income Research

Standard & Poor's: 1Q 2011 results

As Reported	1Q 2011	1Q 2010	Change
Revenue	$442.9 million	$401.3 million	10.4%
Operating Profit	$190.4 million	$188.8 million	0.8%
Operating Margin	43.0%	47.0%	

- **Expense comparisons will ease for the balance of 2011**
- **S&P's operating profit expected to accelerate for the rest of 2011; Implies 10% growth over the balance of the year**

S&P's ratings will play an increasingly important role in the developing world

- **Standard & Poor's is majority owner of CRISIL**
  - India's leading ratings, research, and risk and policy advisory company
- **CRISIL's 2010 revenue is up seven-fold since S&P acquired a majority position in the company in 2005**
  - Approximately $136 million in 2010
- **In emerging economies, capital markets play an important role**
  - Demand for capital
  - Consumers seeking better investments

Latest developments on litigation front

- **Significant ruling last week by U.S. Court of Appeals affirming dismissal of three underwriter cases filed against Standard & Poor's and other rating agencies**
  - Panel of judges' unanimous decision is unambiguous in concluding that credit rating agencies, in offering forward-looking opinions, did not participate in the sale or distribution of securities and therefore cannot be sued as underwriters

Latest developments on litigation front

- **We continue to make progress:**
  - 20 cases dismissed outright
  - 8 more lawsuits have been voluntarily withdrawn

McGraw-Hill Education

McGraw-Hill Education: 1Q 2011 results

As Reported	1Q 2011	1Q 2010	Change
Revenue	$302.7 million	$317.3 million	(4.6%)
Operating Loss	$(75.5) million	$(61.8) million	(22.2%)

- **Operating loss reflects revenue decline and increased investment in digital infrastructure**
- **1Q results not reflective of full year prospects**
- **Digital products an exception; grew at double-digit rate in 1Q**

Digital transformation in education

- **Linking content, technology, and delivery in ways that transform:**
  - Distribution of content
  - Quality and utility of content
- **…to create learning solutions that offer individualized pathways to teaching and learning**

McGraw-Hill Education: Providing new value for our customers

- **Learning solutions improve the efficiency of our customers' workflows**
- **Offering new tools and resources never before available**

Internal publishing processes are digital

- **McGraw-Hill Education has a wealth of digital content and the organizational reach to deploy our assets globally**
- **Provide a range of options to meet customers' specific needs**
  - Complete online courses customized for particular institutions or instructors
  - Subscription-based websites for professionals
  - Apps for mobile phones

Unlocking a new market in the digital world — the student

- **For the first time, marketing new products directly to students:**
  - Test-prep programs as mobile phone apps, allowing students to review on the run
  - LearnSmart allows college students to assess, remediate, or reinforce and master concepts and skills, online, 24/7

How McGraw-Hill Education will benefit from the digital transformation

- **Cost structure will improve as physical products are replaced by digitally delivered products**
- **Digital products expand our global customer base**
- **Mobile learning creates new opportunities to deliver career training and test preparation to students everywhere**
- **Wireless connectivity is increasingly available at low cost and infrastructure obstacles are falling in the school market**
- **Cloud computing will eliminate the need for schools to maintain complex networks**
  - Will be able to download subject content, virtual labs and simulations, professional development, and other resources

McGraw-Hill Education:
A positive cash contributor

- **McGraw-Hill Education continues to be a positive contributor of cash to the corporation after pre-publication costs, capital investments, and working capital needs**
  - Segment is a positive cash generator
  - Self-sufficient from a cash need

Information & Media

Information & Media: Strong growth in 1Q 2011

- **1Q: Delivering on the promise of a sustainable operating margin**

As Reported	1Q 2011	1Q 2010	Change
Revenue	$227.5 million	$206.2 million	10.3%
Operating Profit	$37.4 million	$27.8 million	34.5%
Operating Margin	16.4%	13.5%	

Information & Media: Growing digitally and globally

- **More than 70% of the Business-to-Business Group's 2010 revenue was digital**
- **B2B Group is now primarily a subscription business**

Subscriptions produce a stickier revenue stream

- **75% of McGraw-Hill Financial's revenue**
- **61% of Information & Media's revenue**
- **61% of Standard & Poor's ratings revenue is from recurring non-transaction revenue**
- **Subscriptions also growing at McGraw-Hill Education as its business model changes from print to digital**

Outlook for share repurchases

- **1Q 2011: Repurchased 3.3 million shares for approximately $124 million**
  - Average price: $37.44 per share
- **A step up in 2011 share repurchases versus initial guidance of 4.2 million shares due to:**
  - Cash position
  - Reduced cash commitment for OPIS acquisition that has been withdrawn
- **At the end of 1Q, 5.1 million shares remained in the current 2007 program authorized by the Board of Directors**

Summary

- Improving prospects in key markets
- Using technology to expand addressable markets in financial information, education, and information and media
- Revenue stream is getting sticker as subscriptions continue to grow

Guidance for 2011

- Expect diluted EPS in the $2.79 to $2.89 range

The McGraw·Hill Companies
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McGraw_Hill CONSTRUCTION
AVIATION WEEK
Mc Graw Hill
Education
J.D.POWER AND ASSOCIATES
The Voice of The Customer
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